10 percent share of that market it would need to store a total value of US$240 billion. Now, holding bitcoin as digital gold has a velocity of 1 because it's not turning over: it's just being held each year. In other words, there's no need to divide the value that must be stored by velocity as we had to do with remittances. Thus, at a steady state with 21 million units of bitcoin outstanding, each unit of bitcoin would need to store $11,430 worth of value to meet the demand of 10 percent of the investable gold market ($11,430 = $240B / 21M).

If each bitcoin needs to be worth $952 to service 20 percent of the remittance market and $11,430 to service the demand for it as digital gold, then in total it needs to be worth $12,382. There is no limit to the number of use cases that can be added in this process, but what is extremely tricky is figuring out the percent share of the market that bitcoin will ultimately fulfill and what the velocity of bitcoin will be in each use case.

Also, note that in this example we used the assumption of a steady state bitcoin supply at 21 million units, which will not be reached until 2140. When trying to piece together the fundamental value of the cryptoasset, it is important to consider the time frame and the units of that cryptoasset that will be available by that time, as some assets can have extremely high rates of inflation initially.

Discounting in the Context of Valuation

The next concept necessary for determining the present value of one bitcoin is discounting future values back to the present. For example, if you deposit $100 in a bank account that yields